

ly-stage entrepreneurs and incubators say they can't find Series A capital. So, we saw a clear whitespace in India with enormous opportunity," she explains.

The inaugural Avaana fund—Avaana Capital Growth Fund 1—was established to support tech-driven businesses that are working to improve social inclusion, consumer market linkage and sustainable consumption through digitisation. The second fund, Avaana Climate and Sustainability Fund, which aims to raise \$120 million, will invest \$1-2 million on average in 20 to 25 start-ups, while a majority of the capital will be set aside for follow-on rounds.

And as it moves closer to the first close of the fund, Avaana Capital is gearing up to put the pedal to the metal. Early this year, Avaana doubled down on one of its Fund 1's bets, eekifoods, by infusing further capital from the second fund. Better Capital, Icebreaker VC, Spectrum Impact and Kunal Shah (Founder & CEO of fintech company CRED) also contributed to the \$2-million round.

Abhay Singh, Co-founder and CEO of eekifoods, says the relationship with Avaana goes beyond financial investments. Avaana has connected them with many prominent families in India and the Middle East and consequently, they are in the process of setting up proprietary farms in many new locations, including in Dubai through mutual investments. Furthermore, Avaana facilitated connections with development financial institutions (DFIs) that specifically prioritise investments in climate and sustainable infrastructure projects.

"These [institutions] have the mandate to invest only in climate and sustainable infrastructure. They require a lot of environmental and social impact diligence, and this is something you are not exposed to when you raise from a generalist VC fund," says Singh.

Alekh Sanghera, Co-founder and CEO of FarMart, echoes Singh's views. "Avaana is the only investor which asks for an ESG audit every quarter and what it essentially tells you to do is to think about ESG far more from a governance standpoint," Sanghera says.

FarMart also benefitted from Avaana's industry connects. The investor was instrumental in setting up the start-up's first meetings with some of the biggest names in the food sector, including Nestlé and Godrej. Being the first institutional investor, Sanghera says,

Avaana provided continuous guidance throughout the start-up's fundraising journey—from seed to Series B and debt financing.

The fund maintains constant communication with major corporations to stay abreast of their sustainability requirements. This gives it the ability to foresee and predict demand trends, whether they pertain to consumer goods or business solutions. According to Bansal, there is a greater emphasis on strategies to address climate change in boardrooms today.

However, beyond the capital side of all this, Avaana's all-women leadership team comprising Bansal and Swapna Gupta, General Partners (GPs) in the fund along with Shruti Shrivastava, Investment Director, are deeply passionate about the sector. A former Global Partner and Managing Director with TPG Growth PE, Bansal chairs the 'Climate Special Interest Group' within Indian Venture Capital Association and serves as an independent non-executive director on several leading boards, including those of Tata Power (Chair, Sustainability Committee), Nestlé (Member, CSR and Sustainability Committee), and Piramal Enterprises. Gupta was the head of investments in India at Qualcomm Ventures, the chip-maker's corporate venture arm, where she established Qwein, a first of its kind networking, learning, and mentorship programme for deep-tech, early-stage female entrepreneurs in India. Shrivastava's experience includes her stints at agritech VC fund Omnivore; International Finance Corporation

(IFC), the private sector investment arm of the World Bank Group; and global impact venture fund Acumen.

"Beyond the financial aspects, all of us are driven by making investments that create large, sustainable, successful, but also responsible businesses. Hence, as a team, we are very purpose- and mission-led around solving for climate. What is the use of technology if it doesn't solve large problems? We have also made significant General Partner commitments for the fund, so we are all in," says Bansal. According to her, Avaana's collective portfolio currently impacts nearly 300,000 women and around 200,000 micro, small and medium enterprises.

In the second fund, Avaana is looking at opportunities across the climate spectrum, including greenhouse gas emissions, grid storage and stability, battery technolo-

## AGENT OF CHANGE

**Avaana Capital is edging closer to the first close of its \$120 million second fund**

**It has built a portfolio of about 20 sustainability and climate start-ups over the past five years**

**Its second fund invests in thematic areas of energy and resource management, mobility and supply chains, and sustainable agriculture and food systems**